(9)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Arrangement* of

CP(CAA)/10(CHE)2023 IN CA(CAA)/57(CHE)2022

CASAGRAND STARPARK PRIVATE LIMITED
CIN NO: U74999TN2016PTC112459
5TH Floor, NPL Devi,
New No-111, L.B.Road,
Thiruvanmiyur, Chennai – 600 041

... Applicant / Transferor Company

With

CHENGALPATTU LOGISTICS PARKS PRIVATE LIMITED
CIN NO: U45309TN2020PTC139888
No.258, Satahari Village,
Thiruvallur TamilNadu- 631 203.

... Applicant/ Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Pronounced on ***25th September, 2023***

CORAM

SANJIV JAIN, MEMBER (JUDICIAL)
VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

For Applicant(s) : *R.Inbaraju, Advocate*
For Regional Director : *Avinash Krishnan Ravi, Advocate*
For Official Liquidator : *Palani, Authorized Representative*

Per: **SANJIV JAIN, MEMBER (JUDICIAL)**

The hearing of this Company Petition has been conducted through video conferencing platform.

2. This Joint Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement of **CASAGRAND STARPARK PRIVATE LIMITED** (for brevity "Transferor Company") and **CHENGALPATTU LOGISTICS PARKS PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies. The said Scheme is annexed at ***"Annexure 15"*** in respect of the Joint Company Petition typeset.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferor Company and Transferee Company had filed First Motion Application vide CA(CAA)/57(CHE)/2022 seeking directions as follows:

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED LOAN CREDITORS	UNSECURED TRADE CREDITORS
TRANSFEROR COMPANY	To Dispense with	To Dispense with	To Dispense with	To Dispense with
TRANSFEREE COMPANY	To Dispense with	To Dispense with	Nil	To Dispense with

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide order dated ***13th February 2023***, to dispense the meetings as sought for in the prayer made in the company application which is tabulated above. Subsequently the second motion petition was filed before this Tribunal by the petitioner companies on ***17.02.2023*** for sanction of the Scheme of Arrangement by this Tribunal.

4. RATIONALE OF THE SCHEME

4.1. The Transferor Company and Transferee Company's business activities are similar and complement to each other, and to achieve *interalia* economies of scale and efficiency, the merger of the Company is being undertaken. The Board of Directors (defined hereinafter) of Transferor Company and Transferee Company believe that, the amalgamation of Transferor Company into Transferee Company pursuant to this Scheme, would inter alia have the following benefits:;

a) Consolidation will help business grow faster, increase development and generate greater profits.

b) Transferee Company's knowledge and expertise, including specialised staff will be accessible to Transferor Company as well.

c) Pursuant to consolidation, Transferor Company will also have access to a marketing strategy and capital base of Transferee Company. This will facilitate to deliver high-quality projects.

d) Greater efficiency in cash management of the amalgamated entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, to maximize shareholder value.

e) Greater integration and financial strength for the amalgamated entity, which would result in maximising overall value for all stakeholders and will improve the financial position of the amalgamated entity.

f) The amalgamation will result in enhancing competitive strength, achieving cost optimisation, ensuring benefits through pooling of the financial, managerial and technical resources, personnel capabilities, skills, expertise and technologies of the Transferee Company and the Transferor Company thereby significantly contributing to future growth.

g) The amalgamation would provide synergistic linkages besides economies in costs and other benefits resulting from the economies of scale, by combining the similar line of businesses and operations and thus contribute to the profitability of the Transferee Company.

5. In the second motion Petition filed by the Petitioner Companies, this Tribunal vide order dated ***12.04.2023*** directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region),Chennai (ii) RoC, Chennai, (iii) Official Liquidator (iv) Assistant Commissioner of Income Tax, and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "The New Indian Express", English (All India Edition) and "Dina Malar" Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies filed an affidavit of service before the Registry of this Tribunal on ***18.05.2023*** vide ***SR No. 2097.*** A perusal of the same discloses that the Petitioner Companies have effected paper publications as directed by the Tribunal in "The New Indian Express" (All India Edition) in English and "Dina Malar" (Tamil Nadu Edition) in Tamil on 13.05.2023. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on 28th April 2023, (ii) Registrar of Companies, Chennai on 28th April 2023, (iii) Official Liquidator on 27th April 2023 (iv) Assistant Commissioner of Income Tax on 28th April 2023, and the proof of the same by way of affidavits have been enclosed with the separate typed set. Pursuant to the service of notice of the petition following statutory authorities have responded as follows:

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, Southern Region *(hereinafter referred to as 'RD')* Chennai has filed his Report before this Tribunal on

04.05.2023 vide S.R.No.1948 and has stated in Para 8 of the RD Report that Clause 7 of Part C of the Scheme states about the protection of employees of the Transferor Company. It is submitted that all staff and employees of the Transferor Company, in service on the Effective Date, shall be deemed to have become staff and employees of the Transferee Company, with effect from the Appointed Date or date of joining, whichever is later without any break in their service and other benefits.

7.2. It is stated in para 9 of the Report that as per Clause 11 of Part D of the Scheme, the Transferee Company shall issue and allot to the Shareholders of Transferor Company 0.00001314 fully paid up Equity Shares of Rs. 10 each for every 01 fully paid up Equity Share of Rs. 10 each held by them in the Transferor Company as consideration, upon effectiveness of the Scheme of Amalgamation and the shares held by the Transferor Company in the Transferee Company, if any, shall automatically stand cancelled and extinguished without any act or deed.

7. 3. It is stated in para 11 of the RD report that Clause 12 of Part D of the Scheme provides for clubbing of Authorized Share Capital as such the Authorized Share Capital of the Transferor Company shall stand altered and merged with the Authorized Share Capital of the Transferee Company. It is further averred in the Report, that as per Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 14,00,000 divided into 1,40,000 equity shares of Rs. 10 each. It is prayed that the NCLT, Chennai may direct the Transferee Company to pay the difference in fee / stamp duty and also to file the amended MOA and AOA with Registrar of Companies in connection with the proposed increase of Authorized Share Capital.

7.4. It is further stated that as per para 13 of the report of the ROC, Chennai, the Transferor Company and the Transferee Company have filed their statutory returns upto 2021-2022. It is further submitted that as per the Report of the ROC, Chennai, no prosecution/ complaint/ inspection is pending against the Companies involved in the scheme.

7.5. Thus, after examining the Scheme, except the observations made in para 11 of the RD Report, the Regional Director in his Report has submitted that they have decided not to make any objection to the Scheme.

8. OFFICIAL LIQUIDATOR

8.1. In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued, he has filed the Report before this Tribunal on ***27.06.2023*** vide ***SR.No.2643*** stating that they have appointed Mr.S.Sathyanarayanan, Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Company. It is stated that the said Chartered Accountant firm has verified the books and accounts and other records of the above-mentioned Transferor Company and submitted its report. Copy of the same is enclosed herewith and marked as Annexure- A.

8.2. It is stated that the Chartered Accountants have reviewed broadly Balance Sheet, Profit and Loss Account, Statutory Audit Reports and relevant books of accounts and records of M/s.

Casagrand Starpark Prtivate Limited (formerly known as CGD Satharai Private Limited) of the Transferor Company for the period from 12.09.2016 to 31.03.2022. The Chartered Accountants have also reviewed unaudited Balance Sheet, Profit and Loss Account for the period from 01.04.2022 to 30.06.2022.

8.3. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- The accounts and records of the company have been audited and the Auditor's reports were not generally qualificatory in nature.
- All entries have been made in the statutory registers generally in accordance with the requirements of the Companies Act, 2013.
- As per clause 6.1 of the Scheme of Arrangement, upon this scheme becoming effective and with effect from the Appointed date, all the assets and liabilities, whether or not recorded in the books of accounts of the Transferor Company and the entire business of the Transferor company, shall stand transferred to and vested in the Transferee Company
- As per clause 13.1.3 of Scheme of Arrangement, all the liabilities records in the books of accounts of the Transferor company subject to clause 13.1.4 shall be recorded by the Transferee Company at their respective book values.
- As per clause 13.1.4 of Scheme of Arrangement, the amount of any inter- company balances, investments, loans and advances between the Transferor Company and the Transferee Company, investments in the shares of Transferor Company appearing in the books of accounts of the Transferor company, shall stand cancelled without any further act or deed, upon the scheme coming into effect.

- The Statutory Auditors certify and confirm that the accounting treatment as mentioned in the scheme of arrangement between Casagrand Starpark Private Limited and Chengalpattu Logistics Parks Private Limited in terms of Sections 232 of the Companies Act, 2013 and the rules made thereunder is in conformity with Accounting Standards prescribed under Section 133 of the Companies Act, 2013 read with relevant rules issued thereunder and other GAAP in India.

- In the Share Transfer Register, Annual returns, Books of Accounts, Promoter Share holder name has been mentioned in Casagrand Builders Private Limited. In the Memorandum of Association, Promoter shareholder name was mentioned as Casagrande Private Limited.

- Consent/Affidavit is not available for Earnest Money deposit of Rs.19,23,27,425/- received from Chengalpattu Logistics Parks Private Limited as on 30.06.2022.

- As per Annexure-A clause (vii)(a) to the Independent Auditor's report for the year ended on 31/03/2022, According to the records of the company, the company is generally been irregular in depositing with appropriate authorities undisputed statutory dues. Same comments were made by the Statutory Auditors for the year 2021, 2020 and 2019.

- As per Annexure A Clause (xiii) to the Independent Auditors' report, the transaction with the related parties are in compliance with sections 177 and 188 of the Act where applicable and details of such transactions have been disclosed in the financial statements as required by the applicable accounting standards.

- The company has filed various returns with Registrar of companies.

- The company has not accepted deposits from the public. Hence, the question of commenting on compliance of the direction of the Reserve Bank of India relating to deposits does not arise.

- The Company is filing Income Tax returns

- The company has no unpaid or unclaimed dividends and hence the question of commenting on compliance of the Companies Act does not arise.

8.4. Further in Para 5 of the OL report, it is stated that On scrutiny of the records of the company M/s. Casagrand Starpark Private Limited, the Chartered Accountants have not come across any act of misfeasance, diversion of funds etc., by the directors which would attract the provisions of Sections 339/340 of the Companies Act, 2013. The Chartered Accountants are of the Opinion that the affairs of Casagrand Starpark Private Limited have not been conducted in a manner prejudicial to the interest of its members or creditors or public.

8.5. It is stated in para 8 of the report that in view of the observation made in para (g) and (h) of the Chartered Accountant, this office sent letter to the company to clarify the same. In this regard, the company submitted the document on 23.6.2023 for clarification. Copy of certificate of incorporation of name change of the company is submitted. It is evident that the company's name has been changed to Casagrand Builders Private Limited. Further, copy of affidavit is submitted by the

authorized signatory of the Transferee Company for earnest money deposit. Copy of NOC has been received by email on 26.6.2023 from the authorized signatory of Chengalpattu Logistics Parks Private Limited for earnest money deposit. Copy of the same is enclosed as ***Annexure-B*** for perusal.

8.6. From the above observations made by the Chartered Accountant, the Official Liquidator has sought to take on record and consider the report of the Chartered Accountant and fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of ***₹ 35,000 + GST (Rupees Thirty Five Thousand Only Plus GST)*** to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

9. INCOME TAX DEPARTMENT

9.1. Despite notice having been served on 28.04.2023 and paper publication made on 13.05.2023 in The New Indian Express (All

India Edition) in English and Dina Malar (Tamil Nadu Edition) in Tamil, there is no representation from the other statutory Authorities viz, Department of Income Tax. Under such circumstances this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

9.2. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in* ***RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj)*** *and the same being also affirmed by the Hon'ble Supreme Court and as reported in* ***(2016) 66 taxmann.com.374(SC)*** *from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is*

granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

10. VALUATION REPORT

10.1. The Learned Counsel for the Petitioner Companies has invited the attention of this Tribunal to the Valuation Report obtained from one Rajagopal and Badrinarayanan, Registered Valuer dated 15.04.2022 wherein it has been recommended by the Registered Valuer as follows:

Share Exchange Ratio:

- *Share exchange ratio is arrived based on the fair market value of Transferee Company in correlation to the fair market value of transferor companies.*
- *Since the per share value of Casagrande Star Park Private Limited is negative, face value of INR 10 per share is taken as the fair market value to compute the swap ratio.*
- *Based on the above, the shares to be issued by CLPPL is as follows:*

S.No	CLPPL to issue shares to shareholders of CSPL	No of Equity shares in CLPPL for every one share in CSPL
1	For 1 equity share of Casagrand Starpark Private Limited	0.00001314

- *Based on the swap ratio, the total shares to be issued by CLPPL to the shareholders of CSPL will be 0.13. Since this is below 1, we propose that CLPPL Issue 1 equity share to the shareholders of CSPL.*

11. ACCOUNTING TREATMENT

11.1. The Learned Counsel for the Transferor Company has stated that the Statutory Auditors of the Transferor Company have examined the Scheme and certified that the Transferor Company have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Transferor Company and Transferee Company are placed at ***Annexures 16 to 17*** of the Applicant Companies typed set filed in CP(CAA)/10/(CHE)/2023.

11.2. The Learned Counsel for the Petitioner companies has submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

12. OBSERVATIONS OF THIS TRIBUNAL

12.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended at ***"Annexure 15"*** in respect of the Joint Company Petition typeset filed along with the Petition as well as the prayer made therein.

12.2. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

12.3. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

13. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **1st April, 2022** as mentioned in ***Clause 3.3 of Part-B*** of the Scheme.

(iv) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by ***Clause 11 of Part D of the Scheme*** herein the shares in the Transferee Company to which they are entitled under the said Scheme.

(v) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vi) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies, and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to all the Transferee

Company and the files relating to the said company shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

14. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

VENKATARAMAN SUBRAMANIAM
MEMBER (TECHNICAL)

SANJIV JAIN
MEMBER (JUDICIAL)

SriramAnanth.V